

CHAPTER 14: IN CASE OF THE NEXT GREAT DEPRESSION

THE TITLE OF THIS CHAPTER IS A BIT TONGUE-IN-cheek, but it's worth spending some time talking about what happens if (when) we get a really bad outcome in the stock market — such as a 2008-style crash.

I addressed this question in chapter 3, but I'll expand on the discussion here. (See the subsection “A Coffee Can for the Apocalypse.”) In essence, hunting for 100-baggers is completely independent of whatever is happening in the market. You should never stop looking for 100-baggers, bear market or bull.

But since you will likely quit only when the market turns ugly, that's what I'll focus on.

Phelps says as much, and I already quoted his comment about how “bear market smoke gets in one's eyes” and prevents you from keeping up the search. It should be obvious that if you'd bought Apple 15 years ago, you really needn't have cared what the Fed was doing or what the latest readings were on the economy or any of the worthless stuff investors pay attention to.

And no matter how bad things seem to get, there is always opportunity.

There is no better way to see that, at least anecdotally, than by looking back at the Great Depression. This was the greatest economic calamity the United States ever had to suffer through. And yet, if you really dig into the era, you will find stories of people who did well even in this most difficult period.

My goal is not to say the Great Depression wasn't difficult. It's not to offer up some new interpretation of what happened or to paint it in a